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Sharpened Focus: Solutions, Directions, Opportunities

Todd Bradley, COO and EVP, Palm Solutions Group

"Palm addicts no longer have to rely on the toothpick-thin, oops-I-dropped-it-in-a-crevasse stylus provided with most handheld computers. Swiss Army's new Stylus Knife comes equipped with a knife, scissors, and a retractable plastic tool for high-tech trailside note taking. $20; 800-442-2706; www.swissarmy.com"



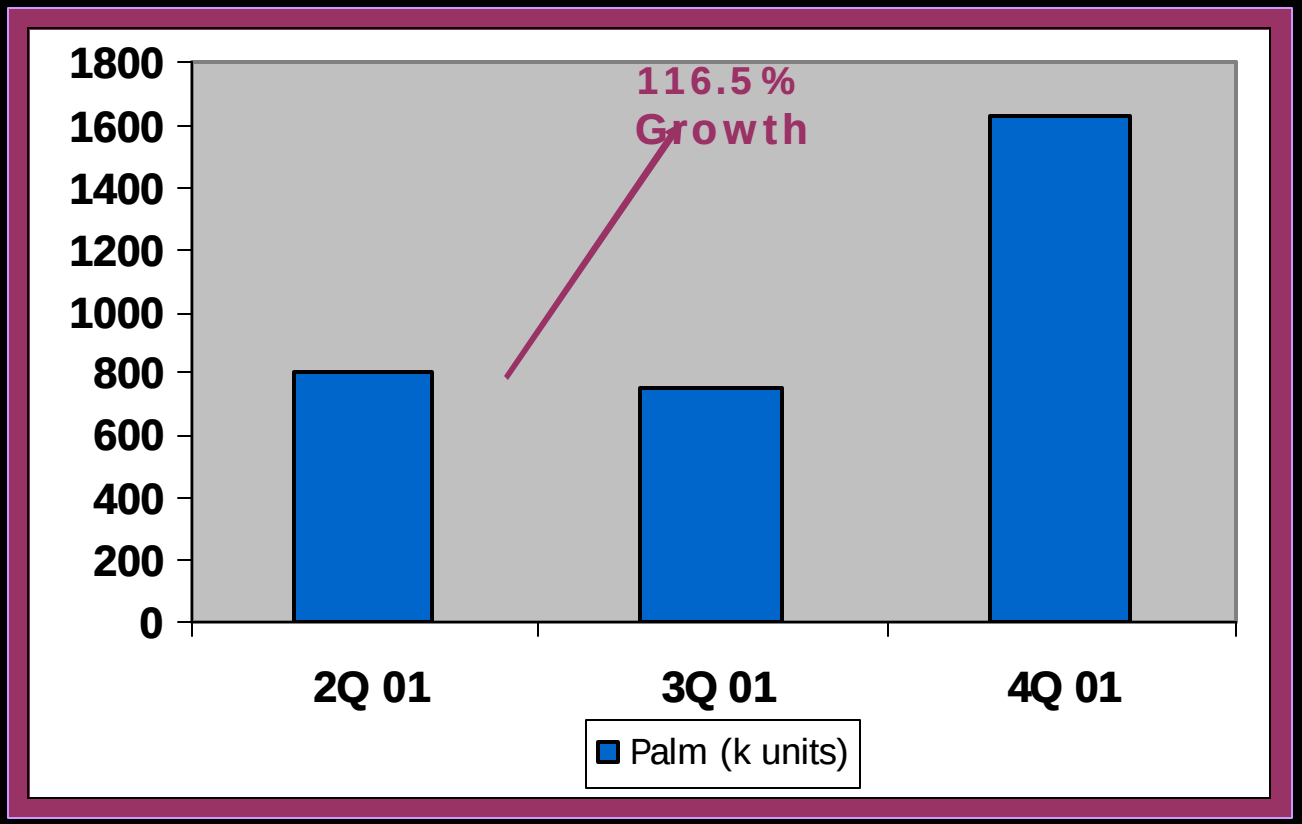
Outside magazine, Nov. 2001



Objective 1:

- Create Two, Well-capitalized, Profitable High-growth Companies
  - Internal separation completed December 2001

Worldwide Palm Grew 116.5% in Q4



Palm WW Handheld Companion Unit Shipments (000) and Sequential Growth

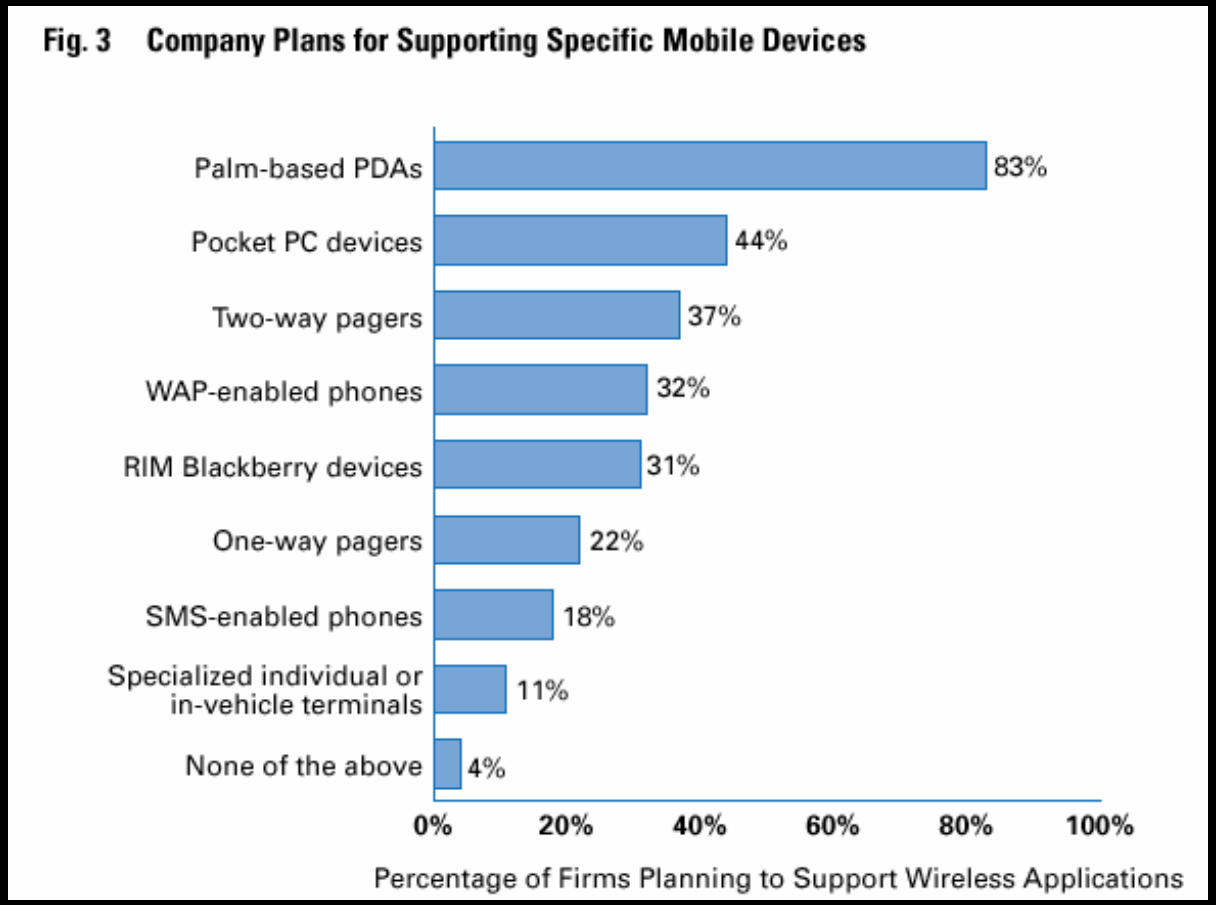
Source: IDC 2002

Objective 2:

- Execute on Enterprise Strategy
  - Enterprise-integrated wireless device
  - Full behind-the-firewall server-based corporate e-mail capability in May quarter
  - Four strategic alliances with enterprise partners by summer

SIEBEL eBusiness

Palm Created the Market for Enterprise



"Palm remains the runaway platform of choice for companies developing mobile applications."

Jupiter Research 9/01

Clear Differentiation Across Product Line

Consumers



Palm m105

First-time buyers, consumers, students



Palm m125

Upgrade buyers, consumers, students, small business

Enterprise



Palm M500 Series

Mobile Individual Professionals



Palm i705

Road Warriors, IT Managers

Recent Enterprise Wins

m505s – Field App

m100s – monitor warming racks

m125s – Use SD to deliver Mutual fund info

m505s – CRM apps

m505s – mgmt purposes

VIIxs – Field App

Vxs – ePocrates solution

m505s – w/keyboards for data entry

m500s – Sales app

Palm Wireless Messaging Solution

End-to-end, Palm-branded, secure, centrally managed solution for wireless "always on" enterprise email

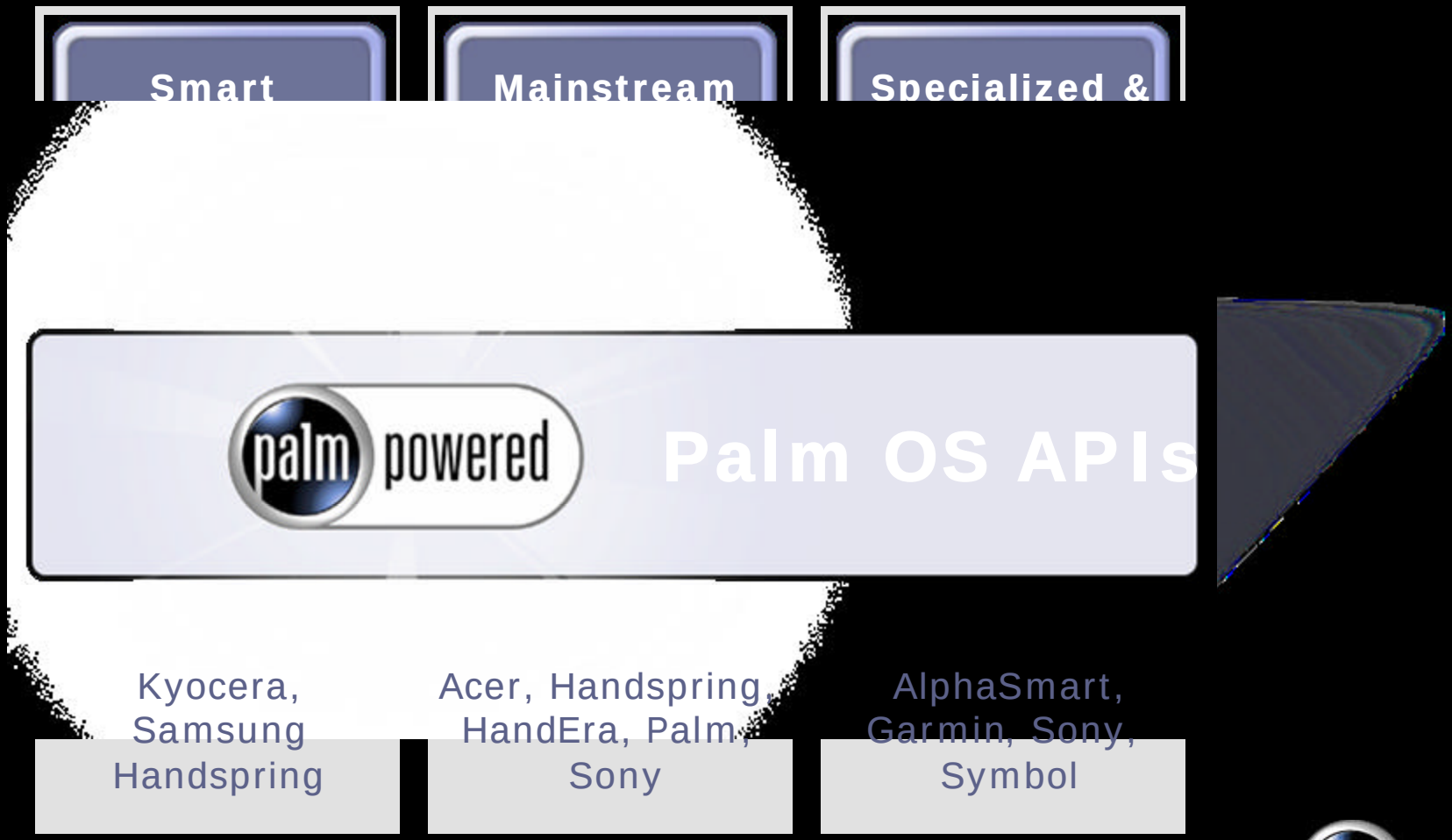
1 Palm i705 Handheld

2 Enterprise Software Suite

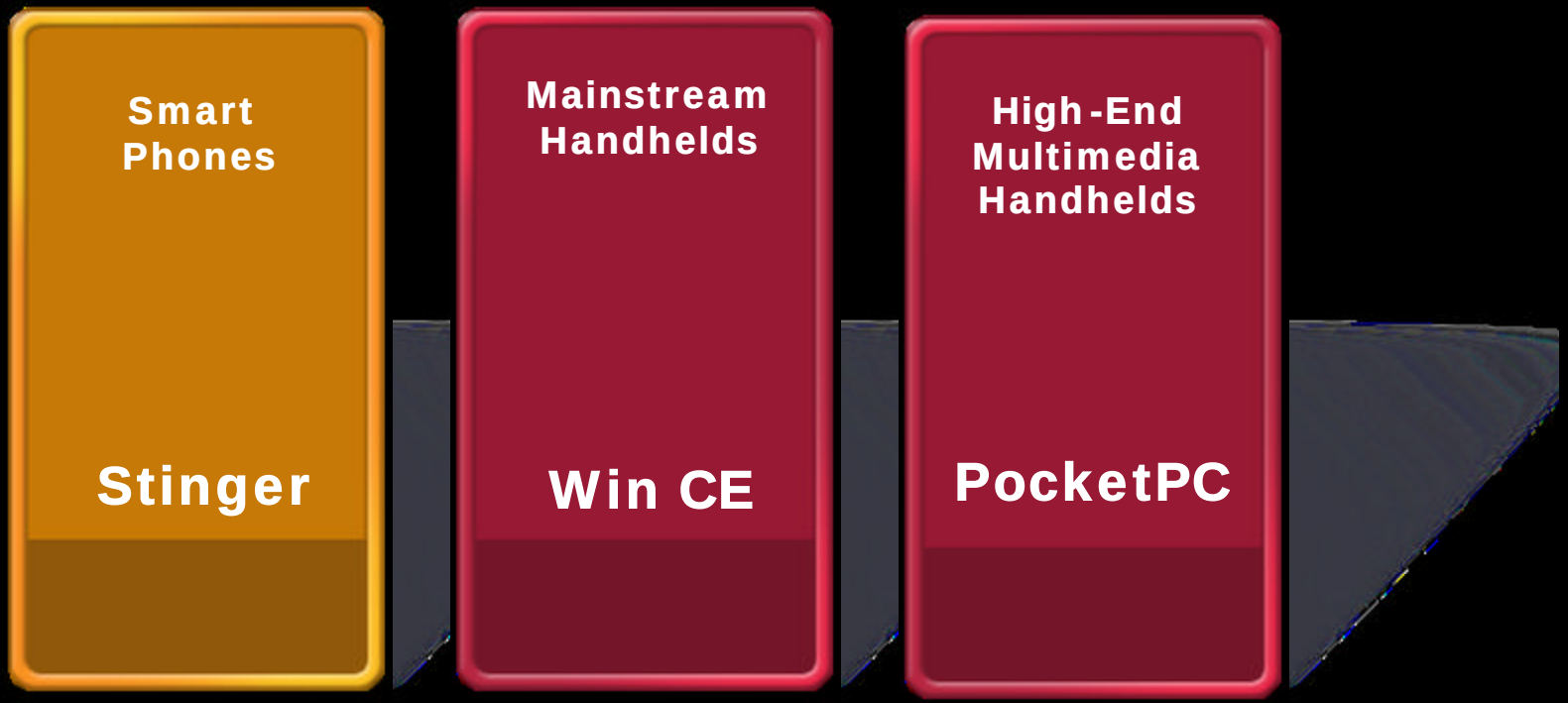
3 Palm Wireless Messaging Server

4 Palm Services
- Palm.Net
- Customer Support

Palm OS® Compatibility



Microsoft's Fragmented Mobile Strategy



Objective 3:

- Deliver Best ARM-Based Solutions
  - Introduce Palm-branded, ARM-based product line with wireless capabilities by fall 2002









Solutions Group to Introduce Broad Array of Wireless Technologies This Year

Focus One/Two Piece Solutions; Data and Voice Apps



Wireless Data





802.11b

GSM GPRS

CDMA/1xRTT



Mobile Internet Kit

Wi Fi™



Cahners In-Stat Says: More Than 78 Million Remote and Mobile U.S. Workers Today

"Recent advances in both wired and wireless Internet access solutions have spurred faster growth of this population in the last couple of years, with hosted applications promising to open up new frontiers in the future."

Kneko Burney, a director with In-Stat/MDR

Cloud of Connectivity by 2010



Original PalmPilot vs. Palm™ i705 Handheld

- Combines Secure Wireless Email
- AOL Instant Messaging
- Built-In Expandability
- Classic Palm™ Handheld Features





Palm™ VII Handheld Was First Successful, Full-featured Handheld With Integrated Wireless

Most WIRED Tool *James Bond could never live without it.*

WIRED

New category: This item has supremely useful and versatile functions.

Nominees:
Handspring Visor™
BlackBerry Wireless Email Solution with RIM 957 Wireless Handheld
Palm™ VII
Samsung SyncMaster 170 MP TV/Computer M
Sony DCR-TRV820 Digital8 Handycam Stic



The world is going wireless, and the **Palm VII** was voted the must-hav
first PDA to offer wireless connectivity — you can access the Internet,
conduct ecommerce from just about anywhere. Its wide range of capabilit
indispensable to travelers of all kinds.

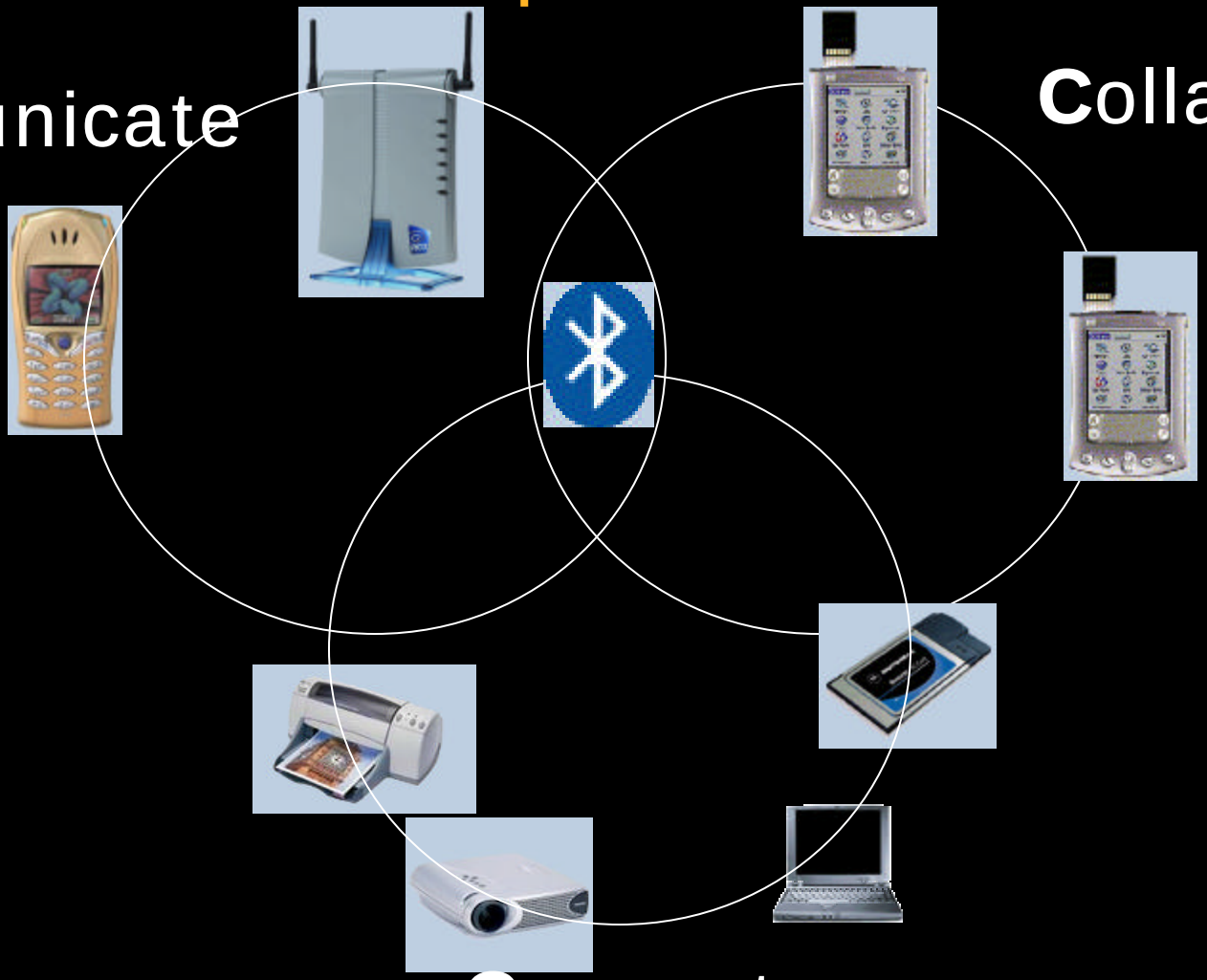
Three Key Wireless Technologies Enable Connectivity Today: WANs, PANs and LANs



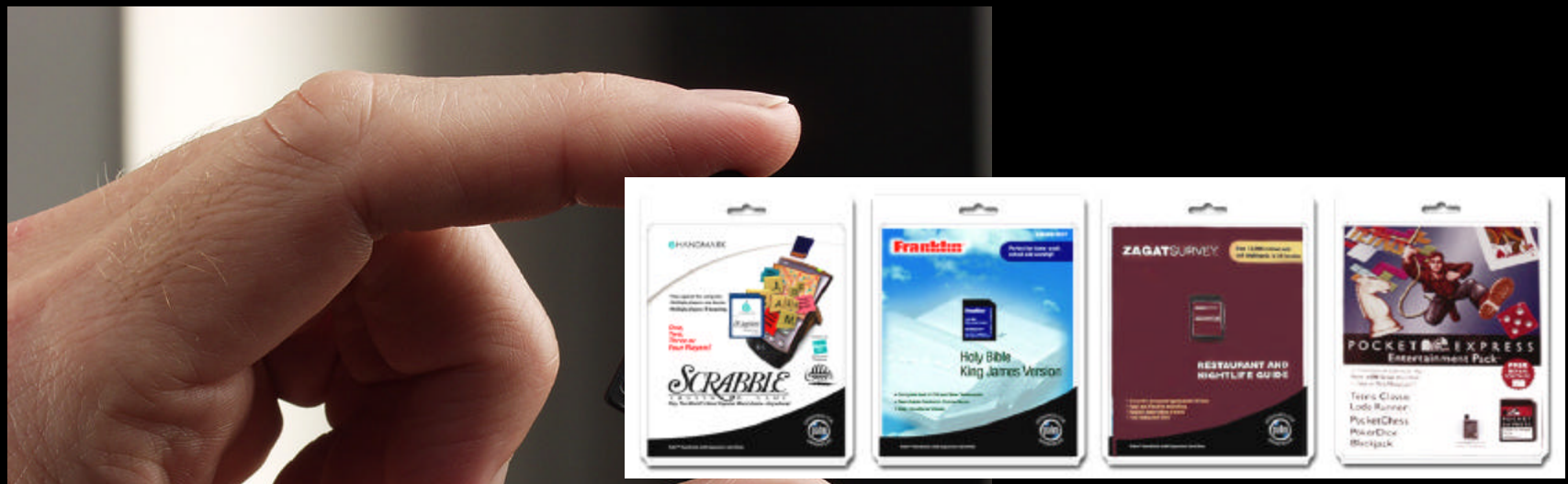




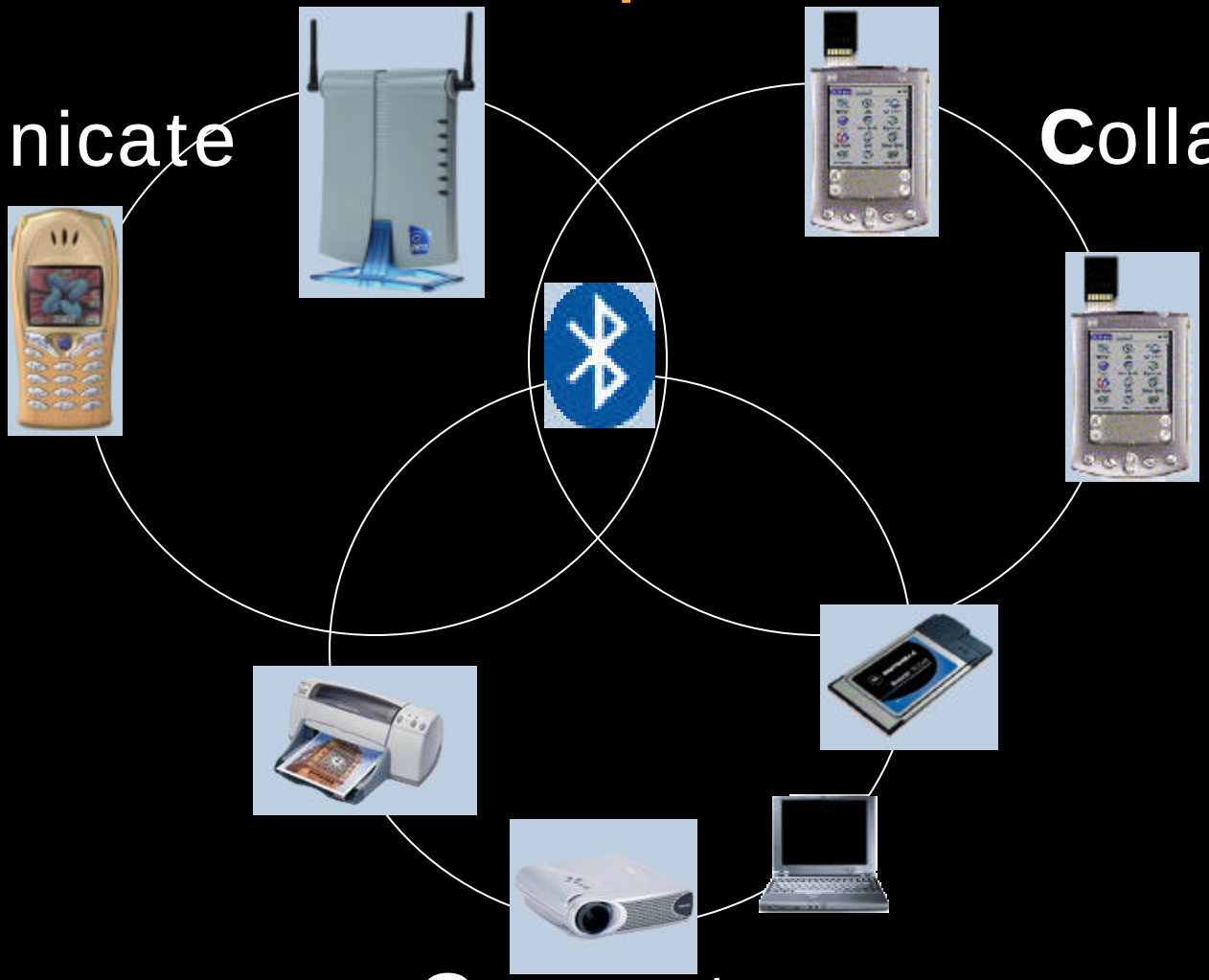
Bluetooth Value Proposition



SD/MultiMediaCard Media Accessories



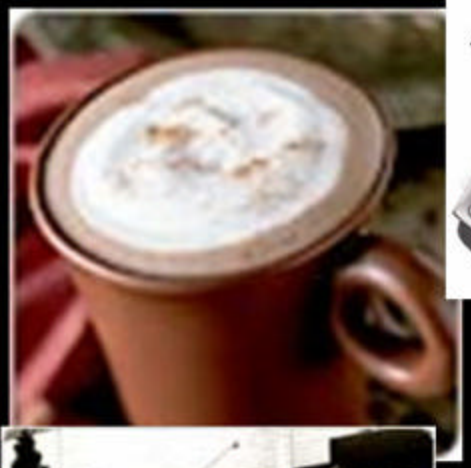
Bluetooth Value Proposition



802.11b and Bluetooth: Mutually Exclusive or Complementary?









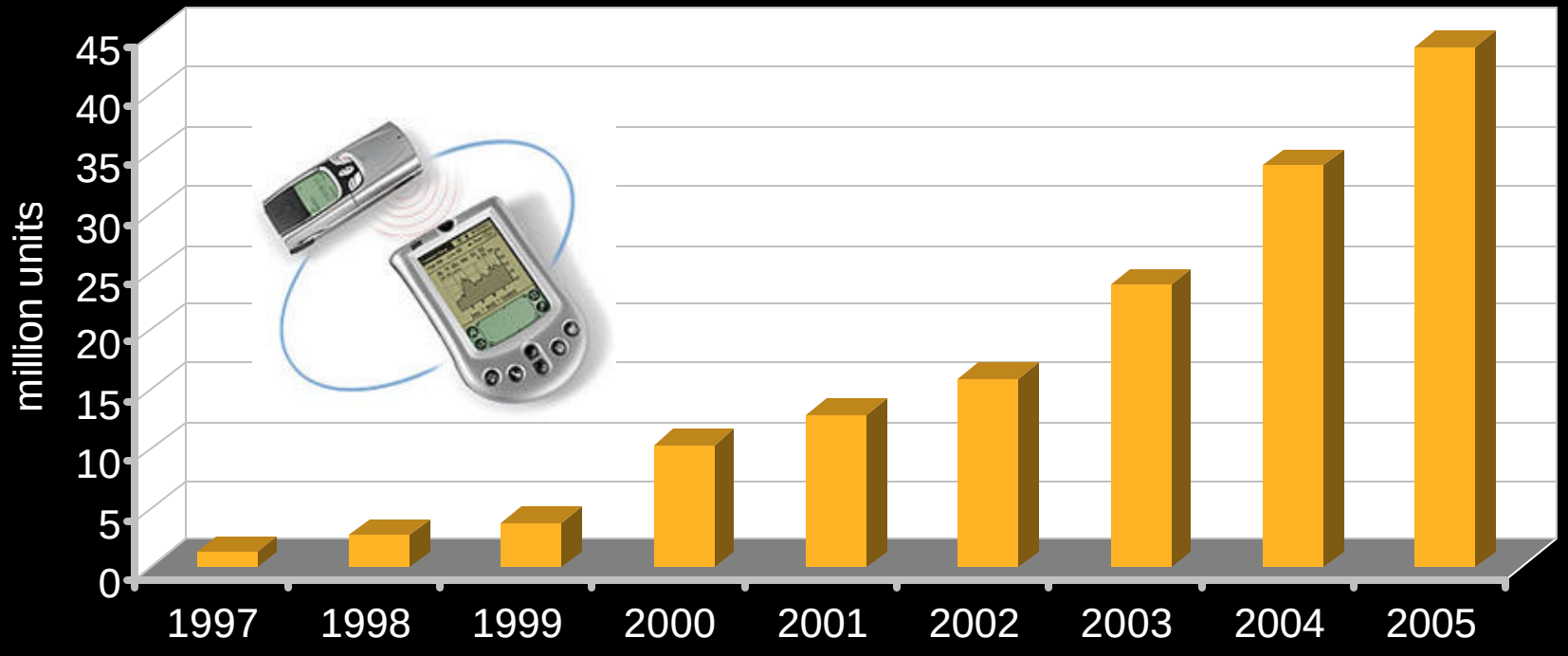


The Beauty of WAN: The Palm™ i705 Handheld

Combines Secure Wireless Email and Built-in Expandability with Classic Palm Handheld Features

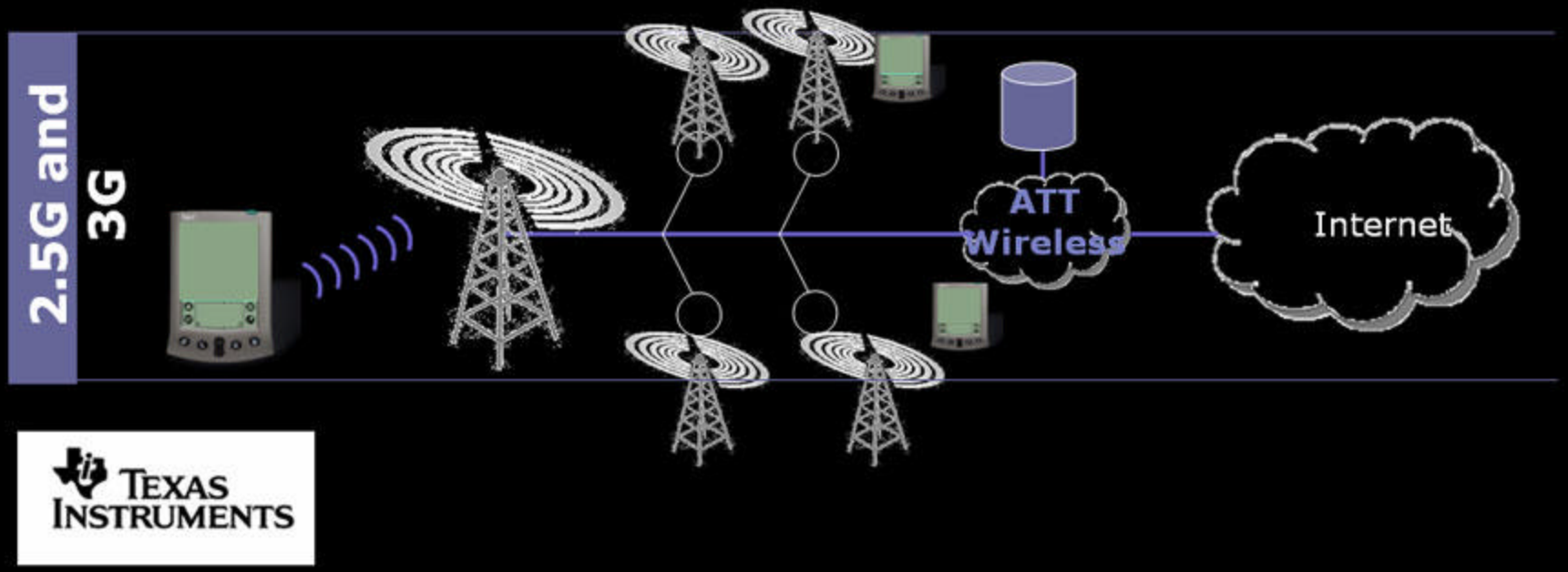


Worldwide PDA Market 1997–2005



Data Source: IDC

2.5G and 3G and the Move to ARM-based Processors



TEXAS INSTRUMENTS

Objective 3:
Deliver Best ARM-Based Solutions



Wearability + Versatility + Ease of Use = Best Experience

- More than 16 million Palm branded units
- U.S. Retail share 60% device Nov. 2001

NPD intellect



PluggedIn Program Nurtures Innovation



SD and SDIO Key Contributors to Innovation in Future Enterprise and Consumer Products

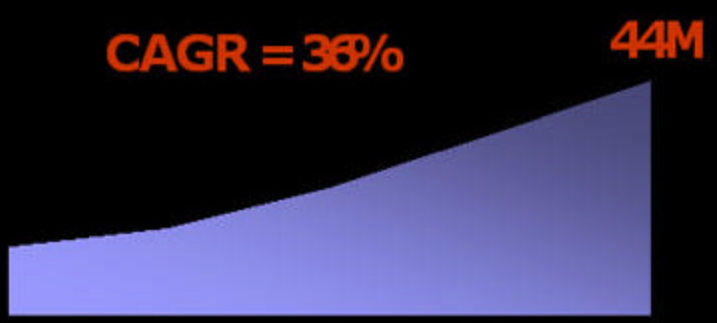
- More than 1 million SD based models sold
- More than 380 companies in SD association
- Opportunities to monetize customer relationship with content and I/O functionality



Fueled by Innovation, Markets Poised for Next Wave of Growth

$35B+ Worldwide Device Market 2005
Plus **Software, Services and Accessories**

Handhelds



Source: IDC Holding Pattern: The Smart Handheld Devices Market Forecast and Analysis 2000-2005 (Dec '01)

Converged Devices



Source: IDC Covering Convergence: The Smart Handheld Devices Converged Device Forecast and Analysis Report, 2001-2005 (Oct '01)

Software, Services, Accessories



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